



3.1 Business Objectives & Strategy

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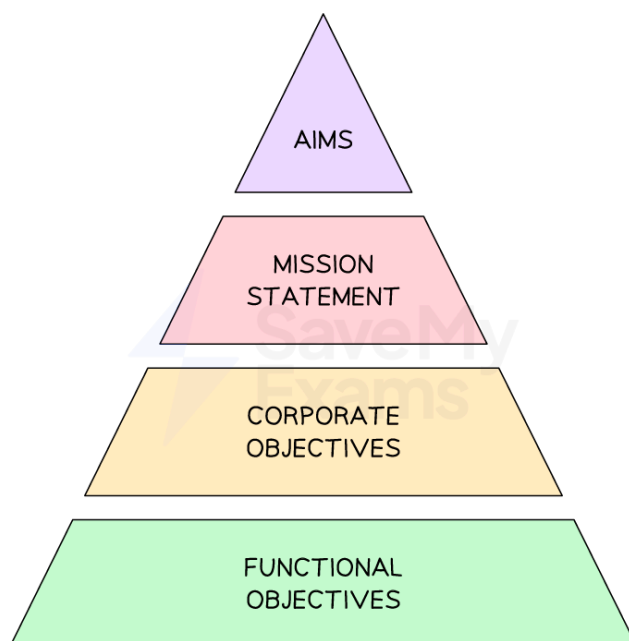
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Developing corporate objectives

- Aims and objectives serve as a guide for a business's overall strategy and direction, helping to **focus efforts and resources** towards a common purpose
- There is a hierarchy of objectives that cascades downwards

The hierarchy of objectives



The hierarchy of objectives shows how aims link to the mission statement and objectives

- A business's **mission** flows from its overall **aim** and is usually expressed in **inspirational terms**
- From this mission, **corporate objectives** and **functional objectives** that detail the **achievable goals** a business wants to meet over a **specified period** are developed

Components of the hierarchy of objectives

Component	Explanation	Example
Aim	▪ What the business is looking to achieve in the long term ▪ Often expressed as an overall vision and describes the business's reason for being	Macmillan Cancer Support: "To do whatever it takes to support people living with cancer"



Your notes

Mission statement	▪ An expression of a business's overall aim as well as its core values and context ▪ Informs the development of corporate and functional objectives ▪ Often expressed in inspirational terms to provide direction and a common purpose for employees	Age UK: "Making a positive difference by putting older people, and the people around them, at the heart of all we do; working with partner organisations to improve the quality of later life and provide effective, timely support for those who need it the most"
Corporate objective	▪ The specific performance goals set by senior management for the business to achieve over time ▪ Derived from the firm's overall aim and mission statement ▪ Corporate objectives may focus on achieving specified levels of market share, profit, sales growth or new product/market development	Mind UK: "Provide 3m employees in low-paid sectors with workplace wellbeing support"
Functional objective	▪ The day-to-day goals of functions or departments within the business, derived from corporate objectives ▪ Functional objectives must be carefully aligned across departments so that all parts of the business are working towards the shared goal	Scope UK: "Working with the Government and disabled people, we will create a Passenger Charter, an information resource to help disabled people find the information they need when using public transport"

SMART objectives

- Corporate and functional objectives should be:
 - Specific
 - Measurable
 - Agreed

- Realistic
- Time-bound

An example of a SMART sales objective

INCREASE THE VOLUME OF ANNUAL SUBSCRIPTION
RENEWALS BY 12% DURING Q3 2023

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This objective is specific, measurable and time-related

Critical appraisal of mission statements and corporate aims

- Businesses need to critically assess whether corporate aims and mission statements continue to reflect their current **corporate vision**
 - The content and expression of business aims will likely **change over time** to reflect changing social attitudes and **norms**
 - For example, Apple's new mission statement — "to make the best products on earth, and to leave the world better than we found it" — emphasises its commitment to sustainability, a key social trend
 - Mission statements are sometimes criticised as being little more than an exercise in **public relations** that does little to inform objective-setting or promote a common organisational goal
 - For example, in 2013, KFC's mission was "To sell food in a fast, friendly environment that appeals to price conscious, **health-minded** consumers" — but in the same year, it launched a burger that replaced the bread bun with extra layers of deep-fried chicken
- Businesses should decide whether **changes to the corporate aim or mission statement** need to be made by considering whether:
 - The short- to medium-term **strategies adopted by the business support the aim** and mission
 - The **aim and objectives are realistic and achievable** in the current trading environment
 - The mission statement message communicates the aim of the business effectively to **stakeholders**
- **Revising** the business aim and revisiting the mission statement should be seen as a **natural step** for growing businesses
 - It is a chance to **involve a variety of stakeholders**, including workers and suppliers, in determining the direction of the business
 - Newly identified **opportunities and threats** can be acknowledged

- Sharing refreshed priorities, particularly with the media, can generate **positive publicity**



Examiner Tips and Tricks

When assessing the nature or effectiveness of the objectives for a specific business based on a case study provided, you should consider the following:

- What is the purpose of the objectives?
- Who is the intended audience?
- How does the corporate strategy followed by the business compare to the mission in reality?
- Who is the mission statement aimed at, and how does the strategy affect different groups?



Your notes



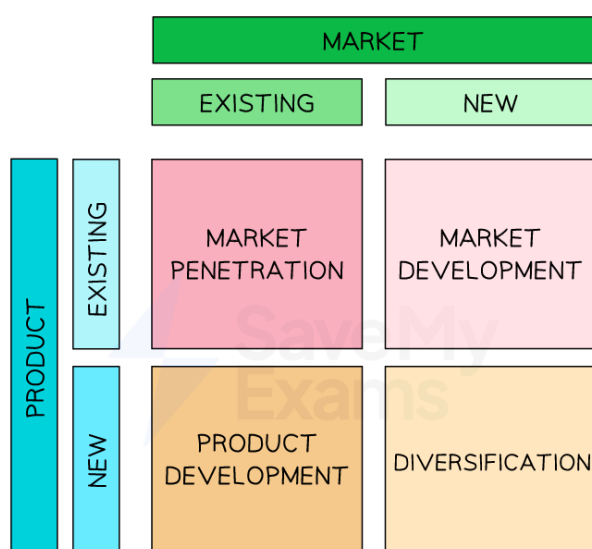
Development of corporate strategy

- A successful corporate strategy helps to provide a **competitive advantage**
- Effective corporate strategy development requires careful consideration of a range of **internal factors and the external environment** in which the business operates
 - Internal factors include the **human** and **capital resources** available
 - External factors include the **economic** and **political environments**
- Two strategic models used to develop a corporate strategy are the **Ansoff matrix** and **Porter's strategic matrix**

The Ansoff matrix

- The Ansoff matrix is a tool for businesses with a **growth objective**
- It is used to identify an **appropriate corporate strategy** and the **level of risk** associated with the chosen strategy
- The model considers four elements, which are broken down into two categories:
 - **The market** — existing and new markets
 - **The product** — existing and new products

The Ansoff matrix: strategies for growth



The Ansoff matrix identifies strategies for growth, depending on whether the product and market already exist or are new

- The **least risky** strategy to achieve growth is to pursue a strategy of **market penetration**



Your notes

- This involves **selling more products to existing customers** by encouraging:
 - **More regular use** of the product
 - **Increased use** of the product
 - **Brand loyalty** of customers
- **Market development** involves finding and exploiting **new market opportunities for existing products** by:
 - **Entering new markets** at home or abroad
 - **Repositioning** the product by selling to different **customer profiles** (selling to other businesses as well as directly to consumers)
 - Seeking **complementary locations**
 - For example, M&S Food has achieved significant growth since teaming up with fuel retailers such as BP and Applegreen and providing express retail outlets
- **Product development** involves **selling new or improved products to existing customers** by:
 - Developing **new versions or upgrades** of existing successful products
 - **Redesigning packaging** and aesthetic features
 - **Relaunching heritage products** at commercially convenient intervals
 - For example, Cadbury relaunches Christmas-themed products each year, often with a subtle design change, to recapture the interest of customers
- **Diversification** is the **most risky** growth strategy, as it involves **targeting new customers with entirely new or redeveloped products**
 - Examples of diversification include:
 - **Tesco** launching a range of financial products, including current accounts and credit cards
 - **Greggs** launching a range of **themed clothing products**

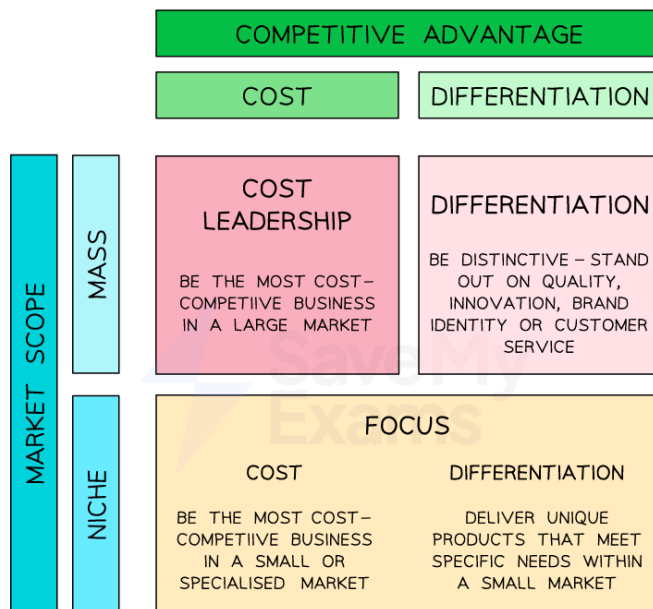
Porter's generic strategic matrix

- Porter's generic strategic matrix identifies a range of strategies a business might adopt, considering:
 - Its **source of competitive advantage** (cost or differentiation)
 - The **scope** of the market in which it operates (mass or niche)
- Porter argues that failing to adopt one of these strategies risks a business being "**stuck in the middle**" and unable to compete successfully with rivals in the market

Porter's generic matrix



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Porter's generic matrix identifies cost leadership, differentiation and focus strategies

- Businesses operating in the **mass market** should adopt either a cost leadership or a differentiation strategy, depending on **what it is that makes them stand out** from their competitors
 - Businesses that have a significant cost advantage over competitors should exploit this as much as possible to achieve success, which is called **cost leadership**
 - Businesses that are unable to operate as the most competitive on cost should adopt a strategy of **differentiation**
- A business that operates in a niche market should adopt a focus strategy that closely meets the needs of its specific group of customers
 - A **cost focus** involves being the lowest cost competitor within the market niche
 - A **differentiation focus** involves offering specialised products within the niche market

Portfolio analysis

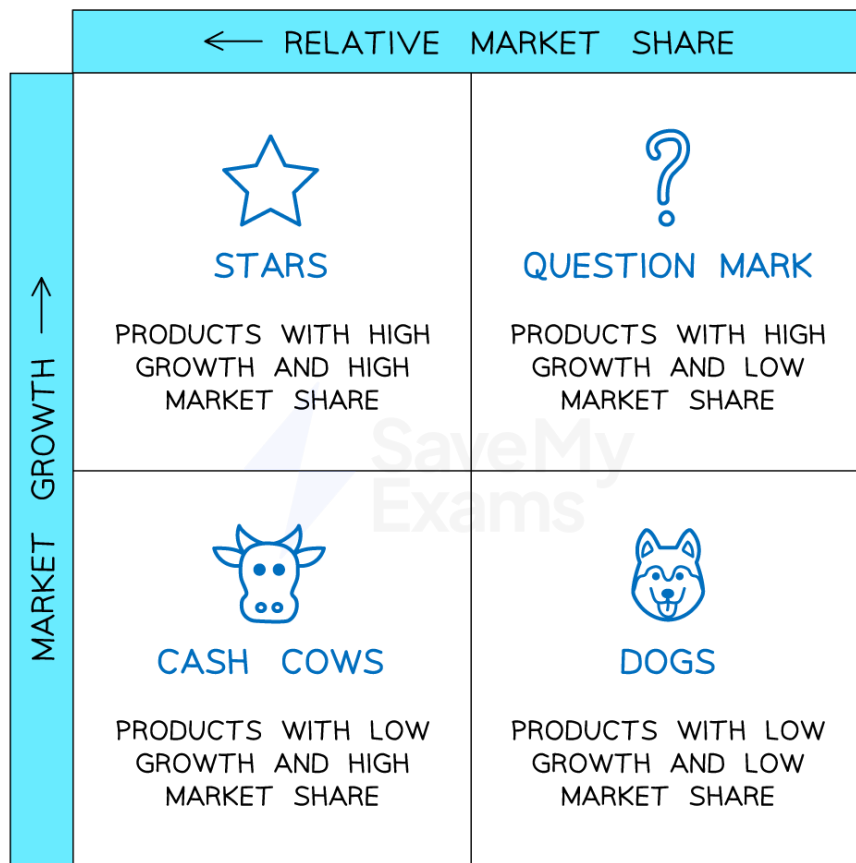
- Portfolio analysis involves a business carrying out a **detailed evaluation** of its full range of products so that **appropriate strategies** may be identified and pursued

Boston matrix

- The Boston Matrix is a portfolio analysis tool that considers the relative **market share** of a firm's products and the rate of growth within the market in which each product is sold



Your notes



An example of the Boston matrix

- Stars are products sold in **high-growth markets** and have a **high level of market share**
 - Stars **require some ongoing investment** to maintain their market position and, if managed well, they are **likely to become cash cows** in the future
 - A **market penetration** strategy to increase sales revenue and maximise market share is likely to be appropriate
- **Cash cows are sold in lower-growth markets and have a high market share**
 - Cash cows **generate more cash** than they need to maintain their market position and can be used to **fund the development of other products** in the portfolio
 - Businesses **may seek new markets** for these products if they are relatively risk-free
- Question marks are sold in **high-growth markets** and have a relatively **low market share**
 - Question marks **require significant investment** if they are to improve their level of market share and become stars
 - There is a **risk that question marks will become dogs** when market growth rates slow
- Dogs are sold in **low-growth markets** and have a relatively **low market share**

- Dogs have **little potential** for future growth and should be **divested** so that **finance and effort may be invested in other products**



Your notes

Achieving competitive advantage through distinctive capabilities

- When a business has a particular strength that is very **difficult for competitors to copy**, it has a **distinctive capability**
- The nature of that distinctive capability will **determine the aims and objectives** of the business and the **strategies** it will pursue to achieve them

Examples of distinctive capabilities

Distinctive capability	Explanation
▪ Operational skills and expertise within the business	▪ A business may have an outstanding and committed design team ▪ This may mean that product development is a suitable strategy
▪ Relationships and networks established within and around the business	▪ A business may have developed close trading relationships with key suppliers ▪ This may mean that a low-cost strategy is possible
▪ Reputation and image of the business	▪ A business may develop an excellent reputation for quality ▪ A differentiation strategy is likely to be appropriate
▪ Innovation and the ability to change	▪ A business may be particularly effective at responding to external change ▪ A market development strategy is likely to be suitable

The effects of strategic decisions on resources

- Strategic decision-making involves **medium- to long-term planning** to achieve corporate and functional objectives
 - It establishes the **actions** that the business intends to take to achieve its goals
- Strategic decision-making will have an **impact** on a business's **human, financial and production** resources

Examples of the impact of strategic decisions on resources



Your notes

Enter a new overseas market

Impact on human resources	Impact on financial resources	Impact on production resources
▪ Staff may be required to relocate ▪ Additional staff with language skills may be required ▪ More staff may be needed to achieve increased output	▪ Marketing budgets will need to be increased ▪ Investment in overseas distribution and retail outlets may be required	▪ Products may require adaptations to meet the needs of overseas customers ▪ Increased output may require more capital investment in machinery

Withdraw an obsolete product from sale

Impact on human resources	Impact on financial resources	Impact on production resources
▪ Fewer workers may be required, as output is likely to be lower, so redundancies may be needed ▪ The remaining staff may need to be retrained or redeployed to produce alternative goods	▪ Finance spent on the withdrawn product can be used elsewhere ▪ Redundancy payments or retraining staff may incur significant short-term costs	▪ Capacity utilisation is likely to be lower, increasing the unit costs of production ▪ The remaining stocks of the withdrawn product will require disposal

Merge with a competitor

Impact on human resources	Impact on financial resources	Impact on production resources



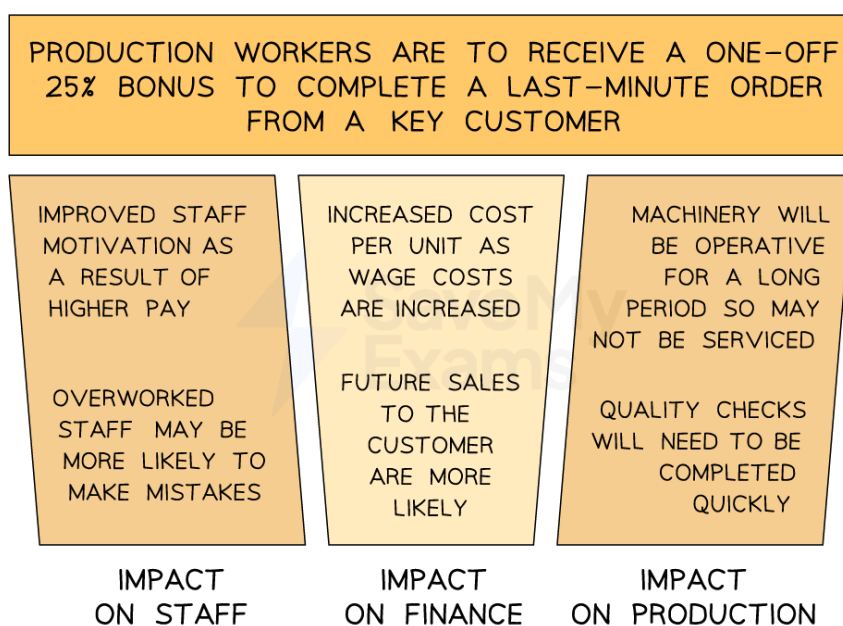
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- Where staff roles are duplicated, redundancies or redeployment may be required - Staff may have greater opportunities for promotion in a larger organisation	- Shared financial resources may lead to improved cash flow and a healthier balance sheet - Duplicated capital equipment and property may be sold to create income	- The production process may be initially incompatible and require reorganisation - Techniques and knowledge can be shared between former rivals
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Examples of the impact of tactical decisions on resources

- Tactical decisions are made to **support the overall strategy** and are usually **short-term**
- Tactical decision-making will also have an **impact** on a business's **human, financial and production** resources

Awarding a bonus to workers



The impact of the tactical decision to award production workers a one-off 25% bonus to complete a last-minute order from a key customer

Decoration of business premises



Your notes

FOLLOWING A SERIES OF NEGATIVE
'SECRET SHOPPER' REVIEWS THE BUSINESS PREMISES
IS TO BE DECORATED

STAFF NEED TO
PREPARE THE
PREMISES FOR
DECORATION

THEY ALSO NEED
TO ATTEND AN
ALTERNATIVE
LOCATION DURING
THE WORKS

IMPACT
ON STAFF

DECORATING
COSTS ARE
SIGNIFICANT

DURING THE
WORKS THE
PREMISES DOES
NOT GENERATE
ANY SALES
REVENUE

IMPACT
ON FINANCE

MACHINERY OR
EQUIPMENT MAY
BECOME DAMAGED
AS A RESULT OF
REMOVAL

OVERSEEING
WORKERS' OUTPUT
IN THEIR TEMPORARY
LOCATION MAY BE
CHALLENGING

IMPACT
ON PRODUCTION

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The impact of the tactical decision to decorate the business premises following a series of negative secret shopper reviews



Examiner Tips and Tricks

You should be able to distinguish between strategic and tactical decisions in a business context and make judgements about whether the distinction is useful in business.

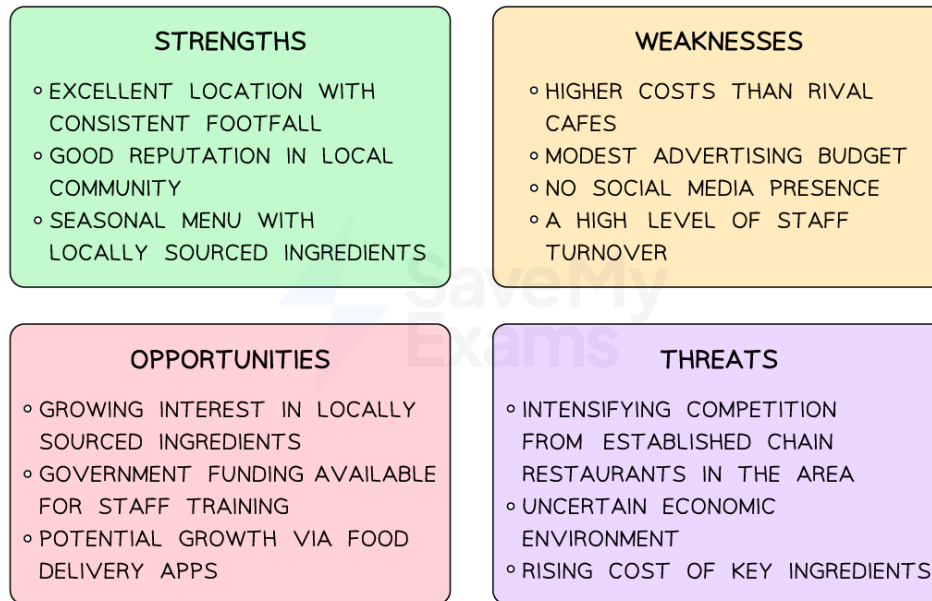
Strategy is more long-term and relates to achieving an overall goal; tactics are shorter-term actions that help to achieve the strategy.



Understanding SWOT analysis

- SWOT analysis is an analytical tool used by businesses to identify:
 - Internal **strengths** and **weaknesses**
 - External **opportunities** and **threats**

An example of a SWOT analysis for a café business



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An example of a SWOT analysis for a small café business, showing its internal strengths and weaknesses as well as external opportunities and threats

- Once a SWOT analysis has been completed by a business, decisions can be made to improve performance:
 - Strengths should be **harnessed**
 - Weaknesses should be **eliminated**
 - Opportunities should be **seized**
 - Threats should be **mitigated**
- An effective SWOT analysis can help senior managers **understand the current business position** so that **appropriate strategic decisions** may be made

Examples of factors considered in a SWOT analysis

Strengths	Weaknesses



Your notes

■ What the business is good at For example: ■ Qualities that separate the business from its rivals ■ Internal resources, such as skilled staff or a particular innovation ■ Possession of assets, such as capital, patents or intellectual property ■ A loyal customer base ■ Effective leadership	■ What the business does poorly For example: ■ Ways in which the business lags behind competitors ■ Resource or capital limitations, including labour and finance ■ Lack of a competitive advantage ■ Lack of a unique selling proposition ■ Poor online presence
Opportunities ■ Options a business may exploit to enjoy further success For example: ■ Developing markets for specific products becoming apparent ■ Few competitors existing ■ A changing legal or political environment positively impacting the business's processes and decisions ■ Social or technological developments creating an emerging need for the business's products ■ Economic indicators becoming more favourable ■ The potential for positive media coverage	Threats ■ Hazards that have the potential to damage business performance For example: ■ New or emerging competitors gaining market share ■ A changing legal or political environment negatively impacting the business's processes and decisions ■ Social or technological developments threatening the obsolescence of products ■ Economic indicators becoming less favourable ■ Negative press coverage ■ Changing customer attitudes towards the business



Examiner Tips and Tricks

A SWOT analysis will vary significantly for businesses of different sizes, with different objectives and operations in different sectors.

For example, a micro startup business will face vastly different SWOT factors from a large multinational company. Having conducted a SWOT analysis, you should be able

to make strategic and/or tactical decisions to achieve corporate objectives (see [subtopic 3.1.2](#)).



Your notes



Understanding PESTLE analysis

- PESTLE analysis examines the **external factors** that are likely to impact the **activities and outcomes** of a business
- PESTLE is an acronym for:
 - Political
 - Economic
 - Social
 - Technological
 - Legal
 - Environmental
- PESTLE analysis can **support effective decision-making** by senior managers who will better **understand the complex context** within which the business operates
- Managers can use the information gathered to **understand the potential threats** to the business's performance and **identify future difficulties** so that action can be taken to help **avoid and eliminate** their effects

PESTLE factors

External factor	Explanation	Examples
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Your notes

Political	▪ The extent to which local and national government is expected to influence the business, including: ▪ Government stability and relationships with key trading partners ▪ Tax regulations ▪ Trade restrictions ▪ Political ideology and attitudes to business ▪ Fiscal policy ▪ National security status ▪ Investment in public services	▪ The UK's decision to leave the EU in 2016 has led to the reintroduction of trading restrictions for businesses importing goods from suppliers in Europe ▪ The reduced level of threat from terrorism in the UK has helped to boost tourism
Economic	▪ The extent to which economic indicators are expected to directly impact business performance, including: ▪ Inflation ▪ Exchange rates ▪ Cost of living ▪ The stage of the business cycle and GDP growth ▪ Unemployment levels	▪ High rates of fuel and food inflation in the UK have reduced the level of disposable income for most households ▪ A historically low unemployment level has made recruitment more challenging for UK businesses
Social	▪ The extent to which personal attitudes and values, culture, and demographic change are expected to affect the business, including: ▪ Social mobility ▪ Education ▪ Ethics and religion ▪ Migration ▪ Health profile	▪ Greater numbers of people graduating from university have increased the quality of workers available to UK businesses ▪ A more health-conscious population provides a lucrative market for businesses selling fitness and lifestyle products



Your notes

	Population growth and demographic structure	
Technological	- The extent to which technological change and innovation are expected to impact the business, including: - Research and development - Production and distribution processes and efficiency - Quality and new materials Intellectual property - Online presence - The technology used in communication	- Developments in communication technology have reduced the need for business travel - Rapid developments in technology have reduced the length of product life cycles and increased the need for businesses to carry out ongoing research, development and innovation
Legal	- The extent to which changes in law and regulations are expected to impact the business, including: - Taxation - Employment - Advertising - Health and safety - Compliance and "red tape" created by regulatory bodies, such as the Health and Safety Executive	- Changes to the level of tax levied on high-sugar products (sodas) in the UK increased selling prices and prompted some businesses to redevelop their products to reduce their sugar content - A rise in the level of the minimum wage increases businesses' staffing costs
Environmental	- The extent to which changes in attitudes and government policy towards environmental protection, as well as the impact of global warming, are expected to impact the business, including: - Changing infrastructure — for example, in favour of green transportation networks Energy availability and cost	- Increased interest in environmentally responsible and ethically produced goods has created new markets for businesses to exploit - Strict rules on the disposal of commercial waste have increased costs for businesses

- Disposal of materials
- Changes in climate and weather patterns
- Air quality



Your notes



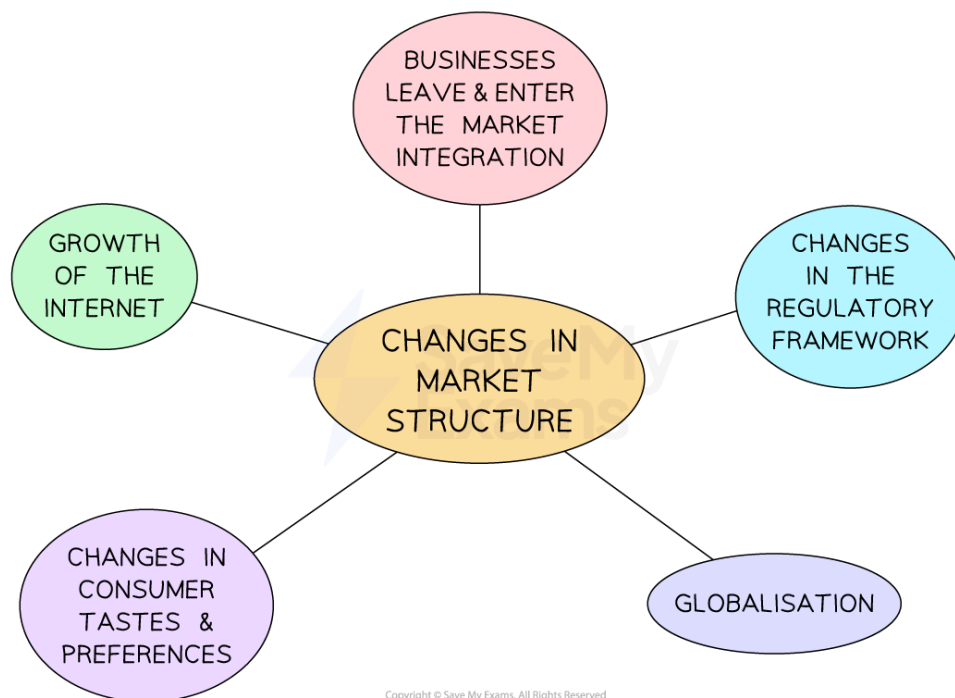
Examiner Tips and Tricks

When using PESTLE analysis, you must focus on each factor's impact on business activity rather than its origin. The cause is not so important, but the impact of the factor is what needs to be considered.

The changing competitive environment

- The **structure** of the market in which a business operates is likely to **change over time**
- Businesses have to respond to this **changing competitive environment**

Reasons for changes in market structure



Reasons for changes in the structure of markets over time include globalisation, growth of the internet and changes in consumer tastes

- **New businesses may enter the market**, and **existing businesses may leave or integrate** with others

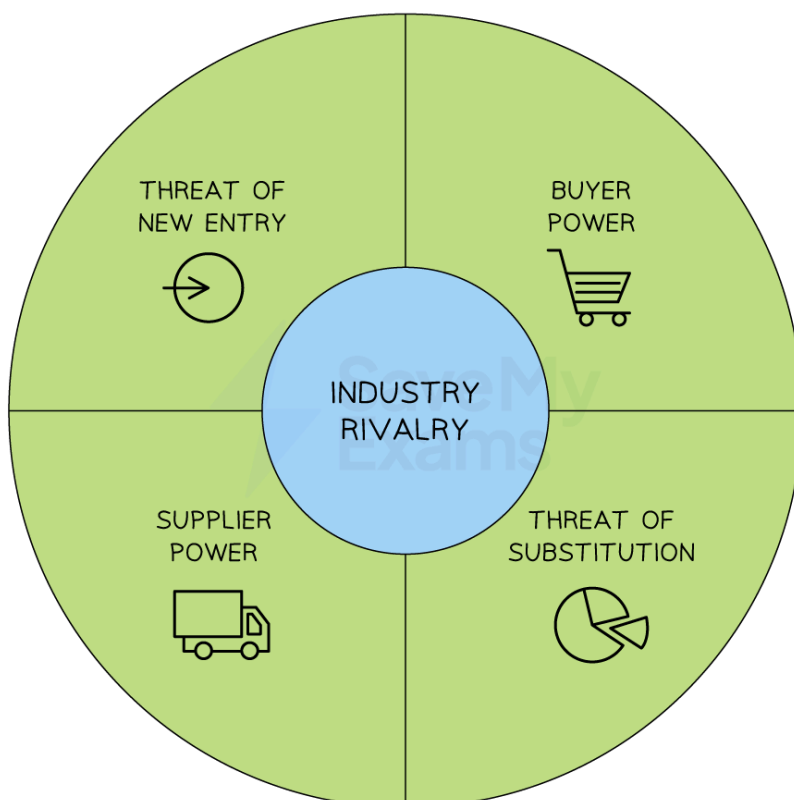


- For example, until the early 2000s, UK supermarkets were dominated by a small number of giants, including Tesco, Sainsbury's and Asda
- The entry of businesses such as Aldi and Lidl has made the market more competitive, while takeovers involving leading brands, such as that of Somerfield by Morrisons in 2004, have had the opposite effect
- The **legislation (laws) may change**, likely leading to fewer **barriers to entry** for new businesses
 - For example, until the 1980s, only local councils were permitted to operate local bus services in the UK, and following deregulation, any business with the financial resources to enter the market could run a bus service
- The **growth of the internet** has increased the number of competitors businesses face in the majority of markets
 - For example, UK booksellers have faced severe price competition largely from the online giant Amazon
 - Many smaller independent retailers have **closed down**, as they have been unable to compete
 - Remaining retailers such as Waterstones have needed to change their operations significantly to survive
- Consumer **tastes and preferences** are **changing more rapidly**, leading to short **product life cycles** and a requirement for businesses to **innovate** to compete
 - For example, the growth in **fast fashion** has meant that many clothing retailers must now constantly update their product ranges rather than rely on seasonally focused product selections
 - Businesses such as Primark and Zara have been particularly successful in meeting customer demand for fast fashion, giving customers the chance to buy the latest fashions in as little as 13 days
- **Globalisation** has increased **competition with rivals from around the world**
 - For example, **between 1970 and 2010, trade barriers around the world were reduced, and customers were able to buy an increasing number of motor vehicle brands**
 - By 2015, more than half of all cars sold in the UK were manufactured by Japanese companies

Porter's Five Forces

- Porter's Five Forces identify the **key pressures** on an industry that impact the **ability of a business to compete with rivals**

The Five Forces model



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The Porter's Five Forces model identifies industry rivalry, supplier power, buyer power, threat of a new entrants and threat of substitution as key competitive pressures in a market

- Porter argued that once a business **fully understands these pressures in context**, it can **take strategic decisions** to achieve and sustain a **competitive advantage**
- This will then increase the business's chances of success

Explanation of Porter's Five Forces model

Force	Explanation	Example
Industry rivalry	▪ When there are many competitors selling similar products, the business will have little power ▪ Many rivals are trying to get a more significant share of the market ▪ Customers have a lot of choices and can shop around	▪ The UK energy market has experienced a significant reduction in the number of rival firms in recent years as a result of numerous takeovers ▪ Remaining energy suppliers have been able to charge high prices and make incredible levels of profit



Your notes

	When a business offers products in an industry with little or no competition, it has more power, can use premium pricing and dominates the market	
Threat of new entrants	- If new competitors can enter an industry quickly and without investing a lot of money, then the barriers to entry are low, and the threat of new entrants is high - The market is likely to contain a large number of rival businesses - Individual businesses are likely to have little power - Where the barriers to entry are too high for new businesses to gain a foothold and compete in the market, the threat of new entrants is low	- As a result of deregulation in the 1980s, UK consumers can access an increasingly wide selection of television channels, many of which can operate at very low cost online - While a small number of powerful firms, such as the BBC, Netflix and Sky, dominate, it is relatively easy for new niche channels to enter the market
Buyer power	- When a business sells to a small number of customers, those customers have significant power to negotiate lower prices - The business has few options when it comes to customers - It will have to price and sell products according to customer demands - Where a business has a high number of customers, those customers have less power - It is likely to be able to charge a high price for a product that is relatively inexpensive to produce	- Boeing is an aerospace company that sells aeroplanes to airlines and governments - Airlines that purchase large numbers of planes from Boeing have significant buyer power due to their ability to negotiate lower prices and favourable contract terms
Supplier power	Where a business has a lot of choices over the suppliers from which it buys components:	Large UK supermarkets wield significant power over small, local suppliers



Your notes

	■ It is likely to be able to shop around for lower prices ■ Where a supplier has significant power over a business as a result of offering specialised components, or where there is a small number of suppliers in the market: ■ The business has little choice over the source of its suppliers ■ It is likely to have to pay high prices for its components and accept suppliers' terms and conditions	■ However, in 2022, the giant food manufacturer Heinz refused to supply Tesco with any product unless it increased its payments by 51%, which Tesco was forced to do
Threat of substitution	■ Where customers can easily swap a business's products for those of a rival, the business has little power ■ The business is likely to have to compete on price or invest heavily in developing a unique selling proposition ■ Where substitution is unlikely, a business has significant market power: ■ It is likely to be able to charge a high price for its products and may be less inclined to innovate	■ Smartphones have become the substitute for a wide range of stand-alone goods, including calculators, cameras and even portable computers ■ In the case of cameras, many manufacturers have moved away from selling low-priced devices and now focus on high-end, specialist products for serious photography enthusiasts